

Breaking Down the Multi-Manager Playbook: How This \$19B CIO Thinks About Alpha | Sean McGould | The Lighthouse Group

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis The episode explores the evolving landscape of alternative investments, arguing that while broad market indices are increasingly driven by high-momentum themes like AI, significant opportunities for alpha remain in liquid, hedged strategies. The discussion posits that structural regulatory shifts in Asian markets (specifically Japan and Korea) and the emergence of revenue-driven equity issuances are creating new environments for capital appreciation. Ultimately, the podcast suggests that successful investing in the current era requires navigating the transition of themes from "alpha" to "beta," leveraging AI as a productivity tool rather than a replacement for human expertise, and identifying dislocations caused by changes in corporate governance and global policy.

2. Key Arguments & Data

- * **The Shift in Asian Markets:**
- * **Japan:** Since the 2021 revision of the corporate governance code (focusing on ROE and capital allocation), the Nikkei has outperformed the S&P 500 by approximately 8% per year. Drivers include the NISA (tax-advantaged savings) reforms, which doubled account holders from 14 million to 28 million, and a shift toward English-language disclosures to attract foreign capital.
- * **Korea:** The "Corporate Value Up" program and new regulations protecting minority shareholder rights have spurred significant growth. In the Kospi, specific AI-related stocks (Samsung and SK Hynix) drove massive returns, with some stocks increasing by 50% to 80%.
- * **Hedge Fund Dynamics & Demand:**
- * There is renewed institutional demand for liquid hedge fund strategies (equity long/short, macro, event-driven) as an alternative to private credit, which has faced liquidity "gating" issues.
- * The "pod shop" or multi-strategy model is viewed by some as a modern evolution of traditional proprietary trading desks, focusing on diversifying uncorrelated return streams to create a "smoother" equity curve.
- * **The AI Transition (Alpha to Beta):**
- * A key observation is that thematic trends like AI often start as "alpha" (where skilled selection yields excess returns) but quickly become "beta" (standardized market factors) as they are identified, bucketed, and traded by the masses.
- * While the "AI factor" can dominate indices, dispersion remains high outside of top performers, providing opportunities for relative value trading within sectors.
- * **Equity**

Issuance Trends: * Unlike the 2021 SPAC cycle characterized by unprofitable, low-quality companies, the current market features revenue-generating leaders (e.g., SpaceX, Google) using capital for massive CapEx projects like data centers. * **AI as a Tool vs. Replacement:** * AI is categorized as a productivity enhancer that increases the speed of data analysis and creativity but does not eliminate the need for human oversight, especially regarding data quality, compliance, and "common sense" in high-stakes financial decisions.

3. Actionable Takeaways * **Monitor Regulatory Reform:** Investors should look to markets undergoing structural governance overhauls (like Japan and Korea). When regulators mandate better capital allocation and shareholder returns, it creates a fundamental tailwind for equity valuations. * **Seek Dispersion, Not Just Momentum:** In markets dominated by a few "mega-cap" winners, the opportunity lies in identifying relative value—finding the underperformers within a sector that are fundamentally sound or finding the "secondary" beneficiaries of a primary trend (e.g., the AI supply chain or manufacturers adopting AI to cut costs). * **Prioritize Liquidity for Risk Management:** In volatile environments driven by rapid factor shifts, maintaining access to liquid markets is critical. High liquidity allows investors to rebalance and exit positions during sudden "known unknowns," such as unexpected regulatory changes or geopolitical shocks. * **Focus on Data Integrity:** As AI tools become more prevalent in the investment process, the competitive edge will shift from "having data" to "ensuring data quality." Investors must focus on the accuracy of inputs to avoid flawed automated conclusions.

Full Transcript

Japan has a different work at than what it was five years ago. So in June of 2021, the corporate governance code was effectively revised. So started to care more about things like return on equity, capital allocation, et cetera. The bottom line since those changes were enacted is that the NICIs outperform the S&P 500 by about 8% per year. If you look at the average stock in the NICI over that time period, It's up about million percent a year. So what's made that difference? Hello and welcome to Other People's Money. I'm Max Weethy and I'm joined today by Sean McGoold, CEO and CIO of the Lighthouse Group and Alternatives Manager with approximately 19 billion in assets under management as we record today. And before we get started, I'd like to do a quick disclaimer that the views expressed by Sean are his own. They are as of the state of the recording and they are subject to change.

The discussion is for informational purposes only does not constitute investment advice and nothing in this conversation is an offer to sell or a solicitation of an offer to buy any security with that out of the way. Sean, thank you so much for joining me today. Thanks, Max. I really appreciate being on. All right. Well, Alternatives Manager, it's such a broad space these days. Can we narrow it down a little bit? What does Lighthouse specialize in? Lighthouse specializes in hedge fund strategies. So about two thirds of the risk that we take is inequities around the globe. About another 25% is in more event-driven strategies like merger arbitrage and SPACs and those sorts of things. And the final 15% is in macro related strategies, but liquid.

So real estate, private equity, venture capital. All right. So my question would be with all of those different strategies, what's growing? Where is the investor demand right now? Hedge funds for the past decade, people have been talking about the lack of demand, but really over the past few years, hedge fund demand has very much increased from institutional investors. Are you seeing that from your seat? Definitely. There's more interest in hedge fund strategies now, certainly than there was a couple of years ago. I think a few things have changed. If you looked at the landscape of

alternative investments a couple of years ago, probably the top of the list was private credit at that time. There have been some headlines around private credit. I think it will continue to be a viable asset class. Not everything is caught up in the software sector in private credit. And I think there's a renewed interest.

in having some more hedged approaches in portfolios and having them liquid in nature. And I know, you know, one of the things we'll hit on next will also be just the advent of Asian investing and some of the interesting things that are going on in those markets, but probably a lot easier to access through liquid strategies than true less liquid strategies and either private credit, private equity within, you know, both Japan and South Korea, China. Well, there's liquidity is two things. It's the liquidity of the underlying assets, but there's also the liquidity of the vehicles. We are seeing gating on hedge funds jump up. Is it not just the investments, but also asset lockups? Well, yeah. And just to quantify that, I mean, most of we really haven't seen gated lockups on, I would say, hedge funds. There are terms within the hedge fund. There are some offerings within hedge funds that have longer liquidity to them. But I think the most recent lockups and gates have actually referred to private credit where investors couldn't get their capital out. Those are private loans being made to companies, individuals, whatever it is. The markets that we trade in are generally all listed, markets from an equity perspective, bond perspective, or their currencies, commodities that are traded on exchanges. I think the one thing is that if people ask for liquidity and The markets were trading very poorly. The cost of that liquidity is quite high. It's probably the wrong time to redeem. If you go back to a time period like 2008, certainly saw that, where that occurred. So matching up redemption rates with liquidity and asset prices, all those things, some of those things are in the control of the investors, but more of the gating that's happened recently has been in private credit.

Well, the hedge in hedge fund is also a keyword to examine a little bit. There are many hedge funds out there that have market exposure that can fluctuate from leveraged long to to leverage short. Yeah. No, Max. That's a very good point. We tend to be much more on the neutral side, particularly as it relates to equity, long, short, and best. OK. And so that lower market exposure. It is funny because in years like 2022, the outperformance of

market neutral strategies is very pronounced. But we've had some absolute rippers in the U.S. equity markets more recently outside of the U.S. And that is that is increasing investor interest and looking beyond U.S. borders for exposure. But, you know, especially if you are somebody who hangs out around financial Twitter.

every year the multi the multi-strat market neutral hedge fund returns come out and you see uh chirping from the peanut gallery about who would who would uh who would want this when the S&P did this and and I think you know institutional investors do not really think that way and so I'd be interested in hearing your perspective on the role of more hedged strategies in these bull market environments that we find ourselves in these days. Yeah, I think, Max, there are a number of institutional investors around the globe that are really trying to meet liabilities. So they are trying to match up liabilities with returns. And some of them can't take the absolute risk of putting all of their assets into the equity markets. So if you had 100% in the equity markets and they did like they did for the last five years, everyone's going to be fine. You're going to meet those.

liabilities that you have and life goes on. For others, they need to be a little bit more prudent. And then when you look at the choice between hedge funds, if you go back to the COVID time period or other time periods after the global financial crisis, when interest rates are literally zero and you have inflation and you've got negative real returns, I think hedge funds can play a very large role in a portfolio by having some sort of risk level between that of equities and traditional bond investments. And I think they're useful in an institutional setting to help match liabilities, to help smooth out return streams, to reduce correlation, all of those things. Because in a perfect portfolio, if you had 50 things that had a correlation of zero to each other, but all had positive expected returns, you would create just a money machine that's very consistent.

and stable across all different types of environments. And certainly that's an all-weather stable vehicle that's going to have low correlation to traditional assets. And again, not everyone can just take pure equity risk because at times in the equity markets, there's going to be drawdowns between 20% and 40%. And you don't know how long they're going to last. And you need

to make sure that your mission is accomplished from an institutional perspective or even from a personal perspective. Yeah, well, let's talk about the weather. What is the weather like right now in the market for an all-weather investor? The weather, it makes it difficult on the short side when you have markets that have melted up in some cases, and you have this push into AI, you have push into hardware, you've push into optics, things like that, and it's just unrelenting.

The flip side of that is outside of some of those areas that are more momentum based, there's still opportunities for stock selection. So when you look at the average return of a stock in major markets compared to an index return, and the average stock has underperformed massively. So if you put together a long short portfolio between the performers and the underperformers, it's, you know, you have the opportunity to produce a stable return stream. So that's really what's happened. You've had a big bifurcation in some of the indices and a few stocks driving the returns massively. But outside of that, it's been a much more balanced market. And that creates a very good opportunity set within the macro space, having the new administration come in, particularly in the US.

changing policies globally in a number of different areas, whether it was terrorist, whether it's defense, whether it's the conflict with Iran that's going on now, other things that are happening. It's provided a very fertile backdrop for more macro type of trading because things are trading every day. They could trade with one common from an official. We've seen over the past couple of weeks back and forth, there were going to get an agreement. not going to agreement some of the terms that were just released last night. So that creates other trading opportunities. And then finally, within the more opportunistic investment space, you have this resurgence of M&A activity. You have this resurgence of equity capital market activity. So when you see SpaceX, the offering that happened last week, when you look at Google's offering the week before, these are record issuances and they need to be absorbed.

into the market at a grand. They create dislocations in some places. Some people have to sell things in order to buy those. Both of these have gone up in value since they were issued. So there's equity capital market activities

also presenting some opportunities. So the backdrop is pretty good right now, Max. Yeah. And I'm interested in your view on equity issuance. I don't know if we go so far as to call it last cycle, but certainly 2021, we got a slew of new companies on the market with the benefit of hindsight. We can say many of them were relatively low quality companies, not profitable. Look, some of the company SpaceX in particular that we're talking about are not profitable, but they're very different in terms of what we saw coming to market the last time.

these types of bull market spirits were around. And so I'm really interested in how you're thinking about, as you said, Google tapping the market, SpaceX tapping the market. We've got confidential S1s from Anthropic and Open AI now, whether they're going to race after seeing the success of a SpaceX IPO still remains to be seen. But certainly they're thinking about coming to market. What does that signal to you? And how do you think about the differences between the issuance we're seeing now versus prior cycles? I think when you go back to 2020, 2021, after COVID, it was much more of a SPAC cycle. So you're taking private companies in different areas of mainly of technology. There are a few SPACs that were done outside of that. They weren't profitable. They weren't scaled. Some of them really didn't have revenue, but needed to raise capital. And SPACs were an efficient way to do it. I think the SPACs in a lot of cases did not work out particularly well. There have been a few success stories there. The difference with some of the companies coming public today is that they do have revenue. They may not be profitable, but they do have revenue and they are going for much more growth. They're in newer areas that are developing.

anthropic and open AI and groups like that. These companies have been around, but they haven't been around all that long. But they are generating revenue. People are excited about the path forward for these companies. I'm sure not. Not everyone is going to be a winner and that everyone will justify probably these valuations or the CapEx that's happening. But right now the capital markets are open for these types of ideas. Money is flowing not only here, but in other parts of the world as well. And it's a very good time. If you have a big idea that needs capital, it's probably been a better time, never been a better time to go get that capital. It might be easier now to go get 100

million or a billion than it is to go get 10 million for a project. To the point that people have so much that they're trying to put to work, a 10 million project just doesn't move the needle for the time it's going to take to underwrite that sort of risk. Yeah.

Again, you wonder where all the capital comes from, Max, and what's being generated. We can certainly talk about that, but certainly the asset prices themselves, as they've appreciated over time, there's just been more capital to deploy. The other thing I would say about these new companies, they're not the also rands. The last time around, you had a lot of, where are the next Tesla? There were five electric vehicle companies. These are the leaders in the space. I mean, does that change the feeling that that you have about this equity issuance that not only are they the leaders in the space, but also that the money is going towards something that we know what it's going towards. If you take, say, like a GameStop, which the stock goes up, they're able to issue shares on the market. They have cash. It puts the company in a better position. But we don't actually really know what that money is eventually going to go to. You know, Google is saying.

We're investing in more data centers. This is the bet. We need money to do that. The same thing with a lot of these other companies. The money is going towards projects versus just a company taking advantage of a short term pop in the stock price. To what extent, you know, does knowing where the money is going and sort of believing in the trend make you feel more comfortable about the issuance? Yeah, I think something like a GameStop only issue. you know, stock when the share price spiked up is more of financing activity. And you want to take that cash put on the balance sheet and find uses for it. Like you said, Max, I agree these companies have cap X plans that they need to fund that are trying to optimize their own balance sheets and their own financing costs to go do so. So it's much clearer what they are trying to achieve with the capital.

Now, what the market's job is is to figure out whether these projects will have a good return on that, on the capital. And capital allocation for these companies becomes absolutely critical. But yeah, it definitely seems like it's kind of an arms race to make sure you're a leader in these phases. And right now, you need a massive amount of capital to do that. Now, there are a lot

of other companies that are being developed and spending time that hopefully improve what needs to be done. There's the efficiencies of the data centers themselves or how a large language models are trained and the training costs for those and the training costs for tokens, all those things are all being worked on. But I think it's very much just the beginning of that cycle of even the optimization of some of these things. So it's hard to predict exactly who will be the winners. But if you need Lots in scale to be put in the game. Again, these companies right now are at the forefront of being able to do that and certainly have a head start. Where is Lighthouse in its adoption and optimization of AI into the investment process as well as more of the back office operations? Anthropic, when they launched their cloud for finance, they said that the financial industry is the number two fastest adopter behind high tech firms.

Yeah, I think that in each functional area of our business, we continue to try and find ways to use the tools that have been built and continue to pick up operational efficiencies. One of the things within the financial space is also you do want humans with these machines. You're talking about real money. You're talking about real compliance issues. that go along with that. You're talking about common sense that needs to be used as well. And not that machines can reconcile equity trading and do other things. But when you're looking at money movement, there has to be certain controls put in place. And all of these things, I think, will speed up our processes and make us more productive and more efficient. But I am not a believer that all human beings go away. I think the human beings will be put into higher use cases that maybe had someone who would look at 10 different accounts now could look at 20 different accounts as efficiently as before. But there is still going to be a need for humans. But these tools are increasing productivity. They're also increasing creativity. So you can ask lots of different questions. You can ask those questions quicker, get feedback quicker. And the one thing, again, you really have to look at from a pure investing perspective.

is just the data quality max and make sure that you know what you're looking at and the data that's being input in any of these tools is is accurate. And I would say that data quality is still a big issue. How is it affecting the generalist versus the specialist? Would you say that the impact is greater and that the generalist is able to go deeper than they were before? Or is that

the specialist is going even deeper in the expectations for coverage and understanding and expertise. The bar is just going higher and higher with you and your competitors. I still believe in the specialist model. And I think having a specialist that studied a particular industry or a particular set of stocks for a long period of time has an advantage over the generalist. The generalist can certainly get up to speed very quickly in a certain area.

But they may not know all the nuances of the industry. They may not know of some regulatory changes that are coming. They may not know of particular supply chain issues with a certain company or a certain product. So I think that these tools will continue to help someone who is very specialized. They can help the specialists get a broad view very quickly. And then again, they can use their knowledge to dig in a lot deeper than a generalist would really know where to go. So I think that specialists can use these tools and really hone in on what are the most important things that might drive a particular stock price. It's been really interesting watching markets digest everything that's happening with AI and one of the more nuanced trends that I think people are starting to understand.

is ex-US outperformance and particularly emerging markets. EM and really ex-US started to outperform post-tariff tantrum. There were narratives that, oh, this is the rest of the world, repatriating capital, dumping the dollar. If you look at the actual investment flows, that's not really the story. And then if you look even further under the hood, You know, you have countries like Taiwan, Korea with incredible exposure to the AI capex build out that are really leading the way. And it does seem like it's AI all the way down. When you look at all of these different themes, it is. And so I'm interested in how you're thinking about the way that this AI trade seems to be infusing itself into not just these.

high-tech US firms, but all over the world. If I can, I'd like to overlay that on top of two markets in particular. One is Japan and one is Korea. And just go through, because I think there's two things that have happened in these markets in particular that might be interesting to explore a little bit more on top of the AI that's happened. In both markets, there have been big regulatory changes that have occurred that I think have set this up to kind of happen the way it has. But if you look at Japan first, so in June of 2021, the

corporate governance code was effectively revised. So I started to care more about things like return on equity, capital allocation, et cetera.

a mortgage of 2023 that accelerated. So the Tokyo Stock Exchange really put forward those rules. Companies start to adopt them, look at them. All of those things start to happen. So you have this bigger impact on shareholder returns, capital allocation, all of those things. In 2024 in Japan, also the new NISA guidelines were released. So NISA account, think of it in the US as a 401k, a tax advantage savings account. When you look at that, that started to encourage households in Japan to start to take money out of deposits like a Japan post bank that were earning zero and start to put them in the stock market. If you look at the NISA accounts, they were about 14 million in 2023. They're now 28 million. So one anecdote of that is one of our colleagues in Japan His in-laws are race farmers. Prior to these new regulations, they had never invested in securities in the securities market. What changed their attitude towards doing it was really two things. One, the NISA account reforms. And then two, for the first time in 30 years, you had people realize that, hold on, there is inflation. If I leave my money sitting in a Japan Post account at zero, I'm actually...

having negative real returns. And that started to encourage more retail investors to put money into the markets. And so also April of 2025, certain Japanese companies were starting to require to disclose their accounts in English as well. So you're broadening this appeal to a retail investor base. And you're saying, retail investors, we want your capital here from Japan. You're saying to the corporates, you need to act better than you have in the past and focus on shareholder returns and return on equity, all of those sorts of things. And you're telling the Japanese corporate community, you need to publish some of these statements in English, so that a broader set of people has the opportunity to invest in it. If you look at those changes starting in January of 2021, the NICI was around 28,000.

It's now at 69,000. You look at the S&P was 4,200. The S&P now about 7,500. The bottom line, since those changes were enacted, is that the NICIs outperform the S&P 500 by about 8% per year. But Max, going back to your point, if you look at the average stock in the NICI over that time period, it's up about 1,000,000 a year. So what's made that difference? It's

the AI stocks. So it's the AI supply chain. within Japan that's really driven the outperformance of that index compared to that. But you had also the background of the changes going on in Japan that I think accelerated this trend. If we switch over to Korea, which has been a huge beneficiary, a little bit different. January of 2024, they have their corporate value up program modeled after Japan is technically implemented in now February. Same thing.

capital allocation decisions, approach shareholder returns, and dress low price to book companies, all of those things. 2025, you had a new regulatory pronouncement in Korea where the board of directors for the first time really had to look at all shareholders. So I had to take into account minority shareholder rights. May of 2026, you have a program that allows Korean investors to repatriate capital a hundred percent relief on capital gains taxes through May of 2026. It scales down from there. And then now you also have this rise of kind of levered ETF trading really only in two stocks. So if we look at that, the bottom line of the cost piece, again, these regulatory changes encouraging retail investors telling corporate stack better, attracting foreign capital.

All of those things, Cosby, since January of 2024, up about 234%. S&P up about 63%. Two stocks that came up for 60% of the Cosby, and that's Samsung and SK Hymix. The average Cosby stock over that time period up about 50% to 80%, which is still huge. But again, some of this is AI-specific. And then some of it is regulatory specific of what's happening. So what is an example of the type of behavior you would see from a corporation in Japan or Korea that the market was really punishing them for before these reforms? The companies in Japan were not necessarily being run for the benefit of the shareholders. They're being run for either sustainability, keep management in its place. In some cases tax reasons and that valuing.

assets properly, all of those things. So the behavior completely changed. Because of the listing requirements, the Tokyo Stock Exchange, the government wanted to get retail participation, and all of these things really started to take shape. And if you look at the amount of volume being traded on the Tokyo Stock Exchange today, compared to even three or four years

ago, it's about five acts. So the participation is greater, so it's created more liquidity in the market, more participation. Hopefully some better, you would hope this would lead to some better price discovery, maybe not, Max. Some of the smaller cap names in Japan really aren't covered from a research perspective, all of those things, but you really change the behavior to be focused more on shareholder returns.

Also, the cross-share holdings in Japan, both in Japan and in Korea, but mainly in Japan, are starting to be unwound. And that's leading to an M&A cycle in Japan. So you're unwinding a system that had really been put in place over a period of about 30 years in Japan. And the results over the past five years have been rewarding to shareholders. And when you say the cross holdings, that would be one company owned shares and another publicly traded company. And if you add it all up and you say, what is in that asset value? You know, discounted hold codes for those familiar, essentially, discounted hold codes. And you start to break those up and see where each of these parts trades on their own. And shareholders can decide, well, I want to invest in this part of the, you know, electrical manufacturer, but I don't want this other old part of the the electrical manufacturing conglomerate. Those choices, those capital allocation.

allowing management to be a little bit more dynamic, I think has helped those situations. It's a little bit different. Max, what we're talking about winter take all the companies need to get bigger to survive. But I don't think the hold cost structure was working that well within Japan and breaking it up, I think is bringing up some of the companies to pursue their own paths, different objectives, growth rates, all of those things. So while the US share count was shrinking, The number of shares in China, Japan, Korea, the listings is increasing. So it's interesting to see more supply over in Asia and less supply in the US, at least of company names that are publicly traded. It's interesting to see maximizing shareholder value take stake in Asia. I mean, in the US, obviously it has been the dominant force in corporate governance for a long time.

even to the point that we had a brief period where buybacks were sort of the enemy, you had planes falling out of the sky from Boeing, GE, people have said perhaps could have done more reinvestment and less focus on short

term maximization of shareholder value. And so what do you think of right balances and do you think they're going to find that in Asian markets? I think it's much more balanced today than what it was previously. I think minority shareholder rights are much more respected in both of those markets as well. So I think they needed to be rebalanced. And I think what you've seen is a re-rating in those markets, more trading, all of those things that you kind of want in markets. You want liquidity, you want price discovery, you want good corporate governance, all of those things. So those have been unleashed.

In the US, it's definitely been more of a freer market. Like I said, sometimes it becomes a little bit unbalanced. That's a really tough job of any management company is capital allocation. What's the time frame that you're going to allocate that capital over? If you're in the landline telephone business, how much capital do you want to reinvest in that business? It's a necessary business, but is it a growth business? Probably not. Different decisions there than in the frontier technology, like producing new LLMs or things like that. I think the capital locations, you know, decisions are completely different and companies at different life cycles need to evaluate that. But that's the role of management. And it's also the role of the board of directors to make sure that that's occurring. Some companies are going to do it really well and thrive max and others are not going to do it well and are going to fail. But it needs to be a more balanced approach. In the US, because of some of the stock options and how they're granted and the short-term nature of them, maybe it got a little bit lopsided. Certainly, that can be corrected. But yeah, it's a balancing act all the time. Now, we talked about the index level returns in Japan, in Korea. But as you said before, you take a much more neutral approach.

As investors that are focusing more on trying to find alpha in markets that have these tailwinds, they're going up. What are the alpha opportunities look like? I mean, you did allude to the dispersion in returns between the markets and the average stock. Clearly, that lends itself to the idea of long short alpha. Yes. So there is always winners and losers in every market. And if you look at even the range of an individual stock on a yearly basis, it could be 30%. At one point of the year, it could be fairly expensive. Another point of the year, it could be reasonably priced. If you are looking

at these securities and particularly relative to other securities in the same sector, so you are a health care expert and you're looking at how these stocks trade relative to each other, there are going to be points in time within a year or within a cycle where something is undervalued or overvalued relative to something else.

That's where the opportunity is. So if suddenly every stock traded like the index mix, it's really, really difficult. But that never happens. It's very, very rare that you have that. And that's one of the arguments for why indexing actually works for investors is because it's so hard to pick what those winners are. Remember, we're not picking the winner of the index. We're picking relative. So we're saying this company is going to outperform this company. And that's the job of a portfolio managers. It's very different than saying which are going to be the absolute winning stocks within the index this year. And that's why I think indexation has worked. I think it can be taken to dangerous extremes. As long as there is dispersion in the underlying stocks beneath that, and particularly at the sector level where specialists really focus, there's an opportunity for Alpha. Yeah, that was my next question. To what extent?

Are you trying to stay factor-neutral within sectors? And you could, in theory, construct a market-neutral portfolio that is very, very long the AI factor. And on its face, it looks like you're market-neutral on an index level, but you're really exposed to a one particular or a small basket of factors. Yeah, exactly. And AI is a big factor now. And interestingly, these factors change over time. But two of the most common factors would be momentum. So something that's going up continues to go up or something that's going down continues to go down in value. Something that's cheap and going up is really what you want to own. Something that's expensive and going down is something you want to short. You have these other exogenous factors that come into the market. So if we go back to COVID, a lot of securities firm put together baskets, stay at home versus return to work or Republican versus Democrat basket in the US.

Now you absolutely have to look at an AI factor and basket of stocks. And it changes, Max, because so many companies have been caught up in AI. Who is the ultimate winner of AI? So is it going to be anthropic? Is it

SpaceX? Is it these different companies? Or is it the sleepy manufacturer who can adopt these models to speed up production, to speed up engineering, to do all this thing? So everyone's gotten caught up in this. So it's a little bit harder to differentiate. you know, just day to day where the AI wave is taking hold, but absolutely you have to track these factors. So, no, we would not recommend a market neutral portfolio, you know, as long AI and short, you know, sleepy industrial companies. That's a very, very different type of portfolio. But in the industrial space, having some industrial companies that maybe are a little bit more sleepy than those that are on the cutting edge of trying to implement AI into their workflow and improving productivity. Those sorts of things are fine. You're within the same sector. And again, there can be winners and losers within sectors. But monitoring those factors is not, it's not a one time you just set the factor and forget it. There's some factors that are persistent over time, momentum value quality, things like that. But there are other factors that change with the with the narrative. So today it's AI, a few days ago had to really track the war factor as well, those sorts of things. Maybe if we finally have a resolution, that factor will start to fade in the background, but energy earlier this year was one, tariffs was one. So these factors continue to show up. And yes, we have to make sure we try and balance the portfolio out to these factors on the long short side.

Yeah, you alluded to the sort of classical, you know, you Chicago, Fama French value factors. But then there are these more thematic ones. And I've always been I've been fascinated over the past few years because when a theme first comes, it's perceived as alpha, right? The idea that you're picking AI winners within the technology sector. OK, that's that's alpha within technology. But then very quickly, it becomes understood by the market. It gets sort of. Bucketed and basketed and that thing that was alpha three months ago is now viewed as as factor beta And it feels like it's happening faster the speed at which these things are being identified Bucketed factorized and then going from alpha to beta is my pre am I crazy? Is that happening faster? Is it happening more regularly? No, I think we've had more of these types of factor baskets that we have to look at I would say since probably COVID and after, it's definitely accelerated because I think people realize you can put these unique baskets together to make sure to test some sort of hypotheses that's happening within the

market. Another example of where AI can be really beneficial, you say, okay, within the S&P 500, it used to be called principal components analysis. Now you just unleash a trained AI model and say, okay, find what the factors are, find what the principal components are that are driving the market, test that against my portfolio and see what exposure I have. At the end of the day, the portfolios have to have exposure to something. You just want to make sure it's not overexposed to one type of factor. And certainly, if your view is, I've got a company within the AI space that really has something and it's going to grow at 50% a year, and it's priced cheaply to that, even though it has that AI factor, you're still going to hold that stock loan. And you're going to find some things to balance out with on the short side, that if there's a big correction in the market or, let's say, someone tomorrow discovers an LLM or some mechanism for tokenization that only takes 10% of the energy power of today's models, well, that's going to shift everything.

like in a classic economic sense. And you want to be hedge from that. But the leading companies may still be a winner in that scenario. But you just don't want to take the overall AI risk of that. But Max, it's constantly changing. And I would say in my career, yeah, it's never been faster. How some of these factors accelerate and come in and out of a portfolio. Yeah. And to your point, right? You do need to take some exposure. A riskless portfolio produces no return. Great. This is the business of risk taking. And so I guess my question would be, what are the risks that you look out there right now that you say, yeah, these are the places that we want to have exposure. You know, we want it to be risk managed, market neutral as much as possible. You know, we talked about Asia, XUS. I mean, do you view it through that lens? Is it that simple that you say, yeah, I want to be exposed to Asia?

you know, in this market neutral way, or are you going further under the hood and saying, you know, these are even the sub trends within Asia and XUS markets that you want to be in? We want to be exposed to almost any source of alpha on a global basis. So it's a little bit different than just a pure, long-only investor, you know, seeking a theme or trying to play that theme. Generally, when you see these types of themes, It leads to greater volatility within that theme. It leads to, in some cases, greater dispersion of stock

prices. So it is an area to look. But we really want to find markets where alpha is possible. So if a market is liquid and it has good financial information, the rules of governance are good, all of those things. It's a place that we want to be invested in. When you start to see changes in a market like Japan regulatory changes, that might be a clue that there's going to be an increase in volume. So the amount of capital you can deploy in these strategies, if you looked at Japan six years ago, the amount of capital you can deploy in these markets now is much, much higher. But there are constraints in each market. It really depends on the liquidity, the volatility of those markets.

One of the reasons that Asian markets are very interesting is the individual stocks tend to have more volatility than in either the US or European markets. So you don't need as much leverage in those markets to generate similar types of returns. So that's very interesting. But we really invest across all the geographies, different timeframes in different markets. It's interesting you talk about liquidity, seeing volumes pick up, seeing more investors come into a space. You often talk to sometimes smaller portfolio managers running more capacity constrained strategies and they say, well, we go where nobody else is fishing, right? And, and that's all well and good. And perhaps they can produce strong returns in their niche. You know, at a more limited scale, but when you get into firms of your size, it does start to be about where can we put capital work, especially when you're dealing with institutional investors who have just so much capital. We talked about how it's, it's easier to raise a hundred million or a billion dollars than it is to raise 10 million. I mean, in many ways, the same thing is true in the asset management business. And it feels counterintuitive. So I'd love to dive into that a little bit more about how when as markets get.

more mature, more eyeballs, more participants, you look at that and see that as a place you want to go into. Well, I think that the liquidity allows you to have a larger allocation to those markets. And again, when we're looking at a pair of securities, if you look at the combination of securities you could put on, Max. it's factorial. It's not just, there's only six pairs of stocks you can put on. If there's 2,000 stocks in a particular market that are liquid, tradable, all those things, it's exponential, the number of pairs you can put on. And you have to model each of those pairs. So that's why liquidity is

important. If you're a fundamental small cap investor, it's a different process that you're going after. You may want a big information edge.

And you may have to sit there long only in the stock. I wouldn't want to short a lot of small cap stocks because if you have to cover that short position, you could get a short squeeze or may not be any sellers. There are some attributes on the short side that can produce very non-asymmetric returns. So focusing where we do fits the style of investing. However, I believe in different styles of investing, choose to focus my time and effort on what I've worked on for the past 30 years. But I can understand someone's argument saying, these companies are not followed that are small cap. There's no research on them. They're undervalued. And I'm going to buy shares in them and hope they grow or show others that they're undervalued and they buy in as well. But that's a different investment process than us looking for securities both long and short.

And I want to talk about maybe, um, less well-known sources of alpha that, that you are looking at right now, long short alpha, well understood for, for, for many decades now, the current environment, you know, we've got implied correlations about as low as they've ever been. In many ways, a stock picker's dream or a relative trader's dream, but you have so many different strategies. What are some of the newer ones that are not as well understood by, by participants in the market? I think one thing makes it's not as well understood. And again, it's not going to be unique just to our firm. I think it's unique across the industry is that regulatory changes can really drive stock prices. And if you're heavily focused on regulations within an industry and you can look at the utility industry, how it used to trade, you can look at oil and gas before OPEC kind of disintegrated or fracking or things like that.

And these changes are seismic changes within industries, but unless you're following them and the nuances that these occur reimbursement rates from insurance companies within that health pharma companies or biotech companies are funding themselves. All of these things are taxes, tax incentives that change depreciation, tax incentives that change drug discovery. All of these things are nuances that to someone that isn't an expert in these areas, looking at these companies, how they're structured,

how they operate in a regulated environment, I think you can miss those. A typical investor is not going to be aware of some of these changes immediately or what's being proposed. That's one source of alpha that I just don't think people look at enough. We spoke about two examples of countries that change regulations.

And yes, AI has had a big impact, particularly in Korea. But still, it's a different work at than what it was three years ago. Japan has a different work at than what it was five years ago. Japan has inflation now. They just had their vote yesterday on interest rates. So these things you have to stay up with to understand how they are going to impact. you know, securities within these markets, how they're traded, retail participation within these markets. So understanding, you know, is retail money flows? Is that a big driver of performance? And then retail money flow can change as well. In Japan, it's more buy and hold now. Before it was a contrary indicator. Now it's much more stable. So these things change over time. Those are all sources of, you know, of alpha.

data can be a source of alpha, but it gets arbitrated away. That's fairly quickly. So if you have a data provider that comes out with some new data set, and then suddenly they start selling it to all your competitors, it's not an advantage. You kind of need it. So originally when credit card data came out, that was a bit of an advantage for people. I think it's harder to get a pure data advantage. But I think the one thing that firms have, they all have their own individual data, how they've collected it. how they look at it, use it. I think those are sources of advantage as well. We've been collecting hedge fund data for well over 20 years now. And I think that helps give us insights that over that long of a time period. But it's constantly evolving what people are looking at. And the hedge fund industry has evolved over time, as far as...

information from corporates, how that's disseminated. Like I talked about the change in Japan, you would have needed someone who spoke or read Japan to translate some of these things. This would have been years ago, there's been translation software for a long period of time, but someone's is going to come down to the creativity and the tools that you apply to discover. to discover Alpha, but I certainly don't think there's just one

information source edge that's out there. Yeah, I mean, if you would have had a time machine, do you think 10 years ago you would have believed that we'd be maximizing shareholder value in Japan and the BOJ would be hiking rates? I do believe despite, you know, maybe some of the flaws of capitalism, there's not a better system out there and sometimes it gets taken to excesses.

And those excesses need to be corrected. And the market's a good force to do that. So I think some of these are countries realizing that you need to attract capital and investment if you want to continue to be productive. So I think some of these changes were inevitable. Could have predicted the time frame, probably not. But you did have more stagnation in Japan for a period of close to 30 years. You might have thought some of these changes would have happened sooner, rather than later, and how that's impacting the individuals that live in these companies or companies that have ideas. Just imagine capital formation. If you have a great idea in Korea now, you've got capital formation, or in Japan, it's much easier to go get that. When prices were stagnant and no one was interested in the market, no one was really looking at it.

You know, your Japanese corporate that needs capital and you have a great idea and the human capital to go deploy that idea, it's great. There's never been a better time if you have an idea to go to capital and to execute that globally. And I think that's a great thing for everyone. So there's the regulation that's happening or that's happened that has changed markets or maybe isn't understood. But there's also regulatory risk. And certainly as we look at AI, there is looming regulatory risk there. How do you think about these known unknowns where there is going to be a regulatory change? It's going to happen. The frameworks are being worked out as we speak. We don't know where it's going to land. How do you think about that given the role that regulation you think is going to play on markets moving forward?

Yeah, Max. And a good example, just going back to Korea, many times they've banned short-selling. So they've improved the rules. They've improved the disclosure. So hopefully it's more permanent that they'll allow short-selling in a market like that, which is important for us to execute a strategy in a market like that. But they do change. And there are the known

unknowns. And that's why, Max, we really can't predict them. So we've got to be balanced within industries and countries. So we really don't want to take a big country bet that, you know, this is going to happen. So we're going to go along Japan, short the U.S. That that's not what we that's not what we do. And there there will be regulatory changes. And maybe in some cases they, you know, there's more stability that comes out of them or, you know, some sort of known playing field that makes it easier to analyze, you know, some of these situations. But yeah, definitely.

There will be changes coming. And that's why we believe we really can't predict exactly what those changes are going to be. So being hedged towards them is important at the beginning, but then being able to react very quickly and decide how these changes are going to impact the players in that space and take advantage of that. That's important, but absolutely regulations will keep coming. It's a new technology. It's like look at how long crypto. regulation took to to be put in place. And even within the U.S., who was going to regulate it? Was it SEC, CFTC? You know, who is going to take charge of that? So, you know, as these technologies emerge, yeah, these regulations are going to change and the markets are going to change. I think crypto is particularly interesting because, I mean, it was a big question even coming into this year or coming into this current regime with with President Trump, who was going to win had.

had the Democrats want. I mean, we would be in a completely different regulatory regime for crypto, almost certainly extremely hard to predict that. And it does go back to those ideas that we talked about earlier about liquidity and why it's it's so important, so valuable, because you you can't avoid these. You can't avoid risk, but you also need to be aware of the swiftness that change can happen. Right. You need liquidity if, for example, you're wrong. You need liquidity to change your position. or else you're stuck with the position. And great, if your horizon is, you're a long-term, long-only investor, again, that could be your source of alpha to take advantage of situations where people need liquidity and they price things incorrectly. For us, it's important to have liquidity to be able to risk manage the portfolio appropriately. I want to shift a little bit to the industry, the hedge fund industry, and particularly...

the the market neutral multi strategy hedge funds. There is a ton of capital chasing these strategies. A lot of people, especially your your single manager, classic style hedge fund counterparts have been calling for peak pod shop. The the that there's so much capital chasing these strategies that it that it can't possibly, you know, continue to produce returns. And yet it does. It does year after year. produce what it says on the tin for the investors. And so, you know, I do wonder what your view is on the capacity that the industry can take on. You are seeing some firms starting to limit their capacity and increasingly going to external managers to take this new capital because they can't actually bring people in house. I mean, where do you think that industry is going to go for these types of strategies? I think if you look at, you know, the model of kind of proprietary trading that's existed for, you know, hundreds of years. If you go back to the old merchant banks, like you would have someone specialized in one area and another area, another area. When you look at the proprietary trading desks of investment banks, when they were in their heyday, you would have hundreds of traders on these desk in very specialized areas, someone trading rates, someone trading, you know, equity, someone trading commodities, someone trading.

gold currencies, they were all specialists on these desks. Since the reforms that occurred after the global financial crisis, you've really outsourced those criteria of trading dust to hedge funds and to what people call multi-pod shops. But I've always believed in the way that I was trained in the in the first hedge fund that I worked at was you want to take diversified risk. You don't want to have one star stock picker, you know, within that. And as I said at the beginning of the podcast, really, if you could have a hundred different return streams that had a correlation, you could predict the correlation of zero to each other over a long period of time. You'd really want that. You'd want that. You'd want to take it. You'd want to level it up optimally. And that would produce the smoothest return stream that's out there. So it's not that I don't believe in the single PM. I think that they.

They can continue to do a good job, play a part within a portfolio. It's just that for a firm like ours, we believe in diversification across strategies, markets, industries, timeframes, all of those things to produce the most consistent return. If you're trying to maximize the return, there's probably

some different ways that you would want to do that. But when you look at the model, it's not all that different than what was on proprietary trading desks back in the... you know, 80s and 90s. And that model is still the test of time for a very, very long period of time. So just like private credit, you know, it came outsourced from the banks because they couldn't do certain types of lending anymore. I don't think of, I think the pod jobs is really more, you know, what we do is more, you know, just proprietary trading that's open to, you know, external investors. But it's not all that different than the trading that occurred on.

on Wall Street for many, many years. And then going back next to a regulation discussion was regulated away. And other market participants picked that up. And that's really how I think of it. So I don't sit there and say a single manager is wrong. That's the wrong model. That's what they choose to do for our particular business. I think this is the right model. And that's how we were trained to do this going back a long way. I believe in the model. the scale of it, Max, will continue to be an ongoing debate, and the scale of it will be determined by the liquidity of the markets. And let's say, Max, that the markets, something came along, cut the market volumes in half, you couldn't deploy the capital. We need to be cognizant of that and have a conversation with our clients about that. Right now, it seems like asset prices are inflating, that almost every government in the world is running kind of a fiscal deficit, and there's inflation around that's made its way, I would say, more into asset prices than anything else. So right now, liquidity is good, markets are expanding. All of those things are favorable for some more growth within the space. All right, Sean, we will leave it right there. Thanks, Max. I really appreciate it.

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